

Employing in Pakistan

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under provincial and federal labour law
- **Monthly payroll** — salary payments in PKR, itemised payslips
- **Tax withholding** — progressive income tax withheld and remitted to the FBR
- **EOBI & provincial social security** — the pension and social security contribution stack
- **Leave and termination management** — notice periods and entitlements guidance

Employment Conditions

Contracts & Probation

Labour law in Pakistan operates at both federal and provincial levels following the 18th Constitutional Amendment — Punjab, Sindh, Khyber Pakhtunkhwa and Balochistan each have their own labour and minimum wage legislation, so the applicable rules depend on where the employee is based.

Item	Detail	Legal Basis
Probation period	Maximum 3 months (extendable to 6 for skilled roles in some provinces)	Provincial Industrial and Commercial Employment (Standing Orders) legislation
Provincial variation	Minimum wage, social security and standing orders legislation vary by province	18th Constitutional Amendment (devolution)
Standard hours	8 hrs/day, 48 hrs/week	Factories Act / provincial Shops and Establishments legislation

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Federal minimum wage	PKR 37,000/month	Provinces may set their own rate; Punjab and Sindh have periodically set theirs somewhat higher
EOBI (employer)	5% of the minimum wage (not actual salary)	Employee adds 1%; a distinctive feature — contributions are calculated on the statutory minimum wage floor regardless of the employee's actual pay
Provincial Social Security Institution (employer, where applicable)	Varies by province (commonly ~6%–7% of wages, capped)	Funds healthcare and injury benefits; administered separately from EOBI

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	14 days/year after 12 months' continuous service	Employer	Standing Orders legislation minimum
Sick Leave	Up to 16 days/year (8 full pay + 8 half pay), varies by province	Employer	Requires a medical certificate
Maternity Leave	12 weeks (federal minimum; some provinces provide more)	Employer	Job-protected

★ HERO TIP

Pakistan's EOBI contribution is calculated on the statutory minimum wage, not the employee's actual salary — this means EOBI cost is fixed and predictable regardless of how senior or well-paid the role is, unlike most countries where social security scales with salary. Always confirm the applicable province's Standing Orders and Social Security Institution rules, since Pakistan's labour law devolved to provincial control after the 18th Amendment.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
EOBI, employer (5% of minimum wage, fixed ≈ \$6.50 illustrative)	\$6.50	0.22%
Provincial Social Security (illustrative, ~6%)	\$180.00	6.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$3,786.50	~126.2%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Because EOBI is calculated on the minimum wage rather than actual salary, it is a near-fixed cost regardless of how much the employee is actually paid — a distinctive feature of the Pakistani system. Employee deductions (withheld separately) include the 1% EOBI share and progressive income tax under FBR's tables.

Income Tax

Pakistan applies progressive income tax rates set annually in the Finance Act, with rates and thresholds subject to periodic revision — confirm the current FBR tax slabs for the relevant tax year.

Termination & Separation

Notice periods and severance depend on the applicable provincial Standing Orders legislation and the reason for termination — redundancy typically requires notice (commonly 1 month) plus compensation based on length of service, while termination for misconduct follows a separate disciplinary procedure.

Public Holidays 2026

Date	Holiday	Type
5 February	Kashmir Solidarity Day	National
23 March	Pakistan Day	National
1 May	Labour Day	National
~March/April	Eid al-Fitr (multi-day)	National (Islamic calendar)
~May/June	Eid al-Adha (multi-day)	National (Islamic calendar)
14 August	Independence Day	National
~September	Ashura (2 days)	National (Islamic calendar)
~September	Prophet's Birthday (Eid Milad-un-Nabi)	National (Islamic calendar)
25 December	Quaid-e-Azam Day (Christmas Day)	National

Islamic calendar holidays shift roughly 10–11 days earlier each Gregorian year and are confirmed by the Pakistani government closer to the date.

Ready to hire in Pakistan?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Pakistan employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).